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Lecture 07: Strategic Considerations

PESTEL Analysis of the Insurance Industry

1. Political
   - Global political instability and recent wars.
   - Increased demand for political risk insurance and SRCC (strikes, riots, and civil commotion) coverage.
   - Need for real-time risk assessment and modern underwriting practices.
2. Economic
   - Slowdown in global GDP growth.
   - Rising inflation impacting premium income and driving coverage cuts.
   - Growth of the gig economy and universal basic income (UBI) proposals affecting product design.
   - Rising buying power in rapidly developing economies driving demand for micro insurance.
   - Increasing global unemployment and rapid urbanization.
   - Corporate mergers and acquisitions altering insurance needs.
3. Socio-cultural
   - Millennial behaviors prioritizing digital channels, mobile access, and seamless experiences.
   - Gig workers requiring flexible, short-term, and on-demand pay-as-you-go policies.
   - Growing consumer focus on health, wellness, and fitness tracking tech.
   - Lasting shifts from the COVID-19 pandemic, including accelerated digitalization and increased consumer sensitivity to risk.
   - Advancements in gender equality and the expanding role of women in financial decision-making.
   - Talent challenges and aging populations.
4. Technological
   - Rise in AI, machine learning, and automation across underwriting and claims processing.
   - Accelerated digitalization, real-time monitoring, and IoT/connected device adoption.
   - Growing usage of generative AI, digital twins, and blockchain infrastructure.

- Emergence of autonomous vehicles reducing accident-related claims and shifting liability models.
- Development of the metaverse creating new digital assets (NFTs, virtual real estate) with protection gaps.

5. Environmental
   - Climate change shifting consumer/investor preferences toward strong ESG credentials.
   - Energy crisis accelerating the transition to green energy and infrastructure.
   - Rapidly growing adoption of electric vehicles (EVs) boosting telematics and hyper-connected insurance.
   - Scarcity of resources (food, water, critical minerals) shifting carriers toward a "prescribe and prevent" risk model.
6. Legal
   - Changes in public policy and government regulations (e.g., Brexit) affecting cross-border compliance and market access.
   - Increasing regulatory requirements for data privacy and cybersecurity.
   - High frequency of cybercrime and ransomware attacks driving up cyber insurance premiums and demand.

Porter's 5 Forces

1. Competitive Rivalry
   - Defined by high levels of competition from other insurers, government programs, risk retention groups, and self-insured entities.
   - Driven by very little product differentiation, as product creation is primarily tied to external risks.
   - High price regulation forces companies to compete primarily on the quality of policyholder services.
   - Requires rethinking distribution channels to satisfy "digitally native" customers through 24/7 web apps, chatbots, and automated services.
2. Threat of New Entrants and Development
   - Fueled by the InsurTech movement, which introduces new operating models, usage-based insurance (UBI), IoT, drones, and API-based modules.
   - Driven by the looming entry of big tech giants (e.g., Amazon, Google, Tesla) into the insurance sector.
   - Pushes traditional insurers toward M&A pressures due to market share loss, or toward partnerships with service providers to increase agility without abandoning legacy platforms.
3. Power of Buyers

- Dictated by individual policyholders who leverage online aggregators and social media to gain instant awareness of coverage, pricing, and services.
- Driven by high modern buyer demands for lower prices, higher product quality, and personalized attention.
- Forces insurers to build user-friendly workflows and seamless integrations across websites, agents, CRMs, and social media channels to streamline the customer experience.

4. Power of Suppliers
    - Historically driven by agents and brokers who influenced policyholder choices, though their bargaining power is diminishing as insurers use front-end tools to reach customers directly.
    - Influenced by reinsurers who control risk distribution and capital constraints.
    - **An abundance of reinsurance capacity increases competition and lowers rates.**
    - Subject to regulatory standards like IFRS 17, which could force product redesigns within the reinsurance segment.
5. Threat of Substitute Products or Services
    - Historically low, but increasingly relevant due to the InsurTech movement enabling innovative alternatives to traditional insurance.
    - Driven by the rising popularity of on-demand and usage-based insurance products.
    - Highly appealing to younger consumers looking for non-traditional options to solve the same risk-mitigation needs.

Product Considerations

- Line of business: Specific type of insurance (eg: home, auto, life, etc.)
- Geography: Where the policies are sold
- Target market: The specific demographic or business segment the product is designed for.
- Distribution: The channels used to sell the product
- Growth rates & trends: Whether demand for this specific product is rising or falling in the market.

Pricing Considerations

- Regulatory: Legal limits and state/national guidelines that strictly dictate how insurance premiums can be calculated and filed.

- Competition: How market rivals are pricing their products, balanced against what the law allows.
- Risk classification variables: The specific metrics used to evaluate how risky a customer is.

Investment Income

- Insurance companies don't just let the premium money they collect sit in a bank account. They invest it to generate extra revenue.
- When managing this investment Portfolio, they must constantly balance four things:
  - Liquidity: How quickly can they convert their investments into cash? (Crucial for paying sudden, massive influxes of claims, like after a natural disaster).
  - Solvency: Ensuring the value of their investments stays high enough to guarantee they can meet all long-term obligations to policyholders.
  - Risk: The volatility of the investments. Regulators usually force insurers to stick to very safe, low-risk investments (like government bonds).
  - Returns: The actual profit or yield earned from those investments.

Expenses

- Claims costs
  - Loss Ratio
  - Expense Ratio
  - Combined Ratio
  - Loss Adjustment Expenses
  - General Expenses
- Technology / Automation
- Commissions
- Miscellaneous
